Chapter 1 INTRODUCTION TO AUDIT

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Learning Objectives

- Meaning and Definition of Auditing
- Primary and Secondary Objects of Auditing
- Various Types of Errors and Frauds
- Advantages and Limitations of Auditing
- Meaning and Definition of Investigation
- Objectives of Investigation
- Distinguish between Auditing and Investigation
- Auditing in a Computer Based Environment

1.1 Introduction

In ancient days, the owners of the business verify their accounts by expert accountants or book keepers to detect errors and frauds. Even the Kings and Zamindars used to listen from the accounts regarding receipts and payments of their kingdom.

At the end of Fifteenth Century due to revival in Italy, there was a rapid growth in industry, trade and commerce. The principle of double entry system was introduced by Luca Pacioli, a famous Italian mathematician. Besides cash transactions, credit transactions are recorded in books, as a result complexity of accounts was increased.

As a result of Industrial revolution in England in the Eighteenth century, there was a substantial increase in the volume of business. A rapid increase in commercial activity, emergence of banking, insurance, joint stock companies and growing activities in the Government sector led the need for audit of accounts.

The technological development, globalization of business, complex business environment, requirement of the interested parties regarding true accounts, necessity of the government to get audited accounts for different purposes have influenced auditing to be used as a fact-finding tool and have caused a greater responsibility in the technique, scope, professional, legal, moral and ethical responsibilities from the auditors.

1.2 Meaning of Auditing

The term 'Audit' is derived from the Latin word, "Audire", which means, 'to hear". Auditing is a detailed and critical examination of books of accounts and support documents to verify whether the financial statements which include Profit and Loss Account and Balance Sheet represent a true and fair view of the state of affairs of the business concern.

It is the verification of financial position as it is disclosed by the Balance

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